

Macroeconomic Theory I: Intertemporal Choice

Professor Christopher D. Carroll

Office Hours: **Make An Appointment Yourself** (read the “rules” link)

Teaching Assistant:

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There is a required discussion section of one hour; day, time and room TBA.

Office Hours: TBA

Link: Link to paperpile folder which contains all the readings for this course.

If you're a Google Calendar user, you should be able to subscribe to the course calendar using the following Calendar ID (after logging into your Google account, copy and paste the text into the “Other Calendars” box in <http://calendar.google.com>):

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If you are not yet a Google Calendar user, you should become one; items that I post on the calendar will be viewed as having been distributed to the class. If you insist on boycotting Google, however, you can see the calendar if you click **HERE**

Theory and evidence about the dynamic behavior of households, firms, and the macroeconomy as a whole in the short and long run. Begins with a thorough discussion of the consumption/saving problem of households, including the role of uncertainty, then moves to investment behavior of firms, including the relationship between financial markets and firm behavior. General equilibrium models of firms and households combine to generate benchmark models of economic growth, which leads us to a benchmark specification for dynamic aggregate macroeconomic models.

This syllabus contains required and recommended readings for each topic. Required readings are indicated by a *.

You should own a copy of the texts by Blanchard and Fischer (1989), Deaton (1992), Romer (2011) and Sargent and Ljungqvist (2012).

Students from other departments are welcome to take the course, but they should be prepared for regular use of higher mathematics (multivariate calculus, probability and statistics, functional analysis) which will be employed later in the course.

Course handouts are available at:

jhu-econ.github.io/intertemporal-choice

1 Course Intro: Methodology for Macroeconomists

Bib: `Method.bib`

Handouts: `Methodology`

Readings:

- * Summers (1991)
- * Acemoglu (2009)
- * Krugman (2012)
- * Caballero (2010)
- * Barbera (2010)
- * Romer (2016)

2 Consumption

Bib: `Consumption.bib`

Handouts: `Consumption`

Readings:

2.1 Introduction and Overview

- * Friedman (1957), Chapters I, II, III
- * Deaton (1992), Preface; pp. 76-81

2.2 The Life Cycle and Overlapping Generations Models

- * Deaton (1992), pp. 1-6
- * Blanchard and Fischer (1989), Chapter 3: Introduction, pp. 91-113
- Diamond (1965)
- Feldstein (1974)
- * Modigliani (1986)
- Summers (1981)
- Pemberton (1997)
- * Carroll and Summers (1991)

2.3 The Infinite Horizon Representative Agent Model

- * Deaton (1992), Chapter 3
- * Hall (1978)
Flavin (1981)
Campbell and Deaton (1989)
- * Campbell and Mankiw (1989)
Hall (1988)
Carroll, Fuhrer, and Wilcox (1994)

2.4 Consumption with Uncertainty and/or Liquidity Constraints

- * Deaton (1992), Chapter 6
Zeldes (1989)
Caballero (1990)
Deaton (1991)
Toche (2005)
- * Carroll (2001b)
- * Carroll and Kimball (2007)
- * Carroll and Summers (1991)
Carroll (2023)
Carroll (2001a)

2.5 Consumption Based Asset Pricing

- * Lucas (1978)
- * Mehra and Prescott (1985)
Blanchard (1989)
Carroll (2008)

3 Investment

Bib: `Investment.bib`

Handouts: `Investment`

Readings:

- * Blanchard and Fischer (1989), Chapter 2, pages 58–69; Chapter 6, pp 291–302
Hall and Jorgenson (1967)
- * Hayashi (1982)
- * Eberly and Abel (1994)
- * Cummins, Hassett, and Hubbard (1994)

4 Growth

Bib: `Growth.bib`

Handouts: `Growth`

- * Blanchard and Fischer (1989), Chapter 2, pp 37-57
- * Deaton (2013)
- * Sala-i Martin (1990)
King and Rebelo (1993)
Phelps (1961)

5 Real Business Cycle Models

Bib: `DSGEModels.bib`

Handouts: `DSGEModels`

- * Blanchard and Fischer (1989), Chapter 1
- * Blanchard and Fischer (1989), Chapter 7
- * Prescott (1986)
- * Summers (1986)

Link: Link to paperpile folder which contains all the readings for this course.

Readings (click to download .bib file)

- ACEMOGLU, DARON (2009): “The Crisis of 2008: Structural Lessons For and From Economics,” *Manuscript, MIT*, See also the discussion at <http://economistsview.typepad.com/economistsview/2009/01/acemoglu-the-mo.html>.
- BARBERA, ROBERT J. (2010): “If It Were a Fight, They Would Have Stopped It in December of 2008,” *The Economists’ Voice*, 7(2), 3, <http://EconPapers.repec.org/RePEc:bpj:evoice:v:7:y:2010:i:2:n:3>.
- BLANCHARD, OLIVIER, AND STANLEY FISCHER (1989): *Lectures on Macroeconomics*. MIT Press.
- BLANCHARD, OLIVIER J. (1989): “Speculative Bubbles, Crashes, and Rational Expectations,” *Economics Letters*, 3, 387–389, <http://ideas.repec.org/a/eee/ecolet/v3y1979i4p387-389.html>.
- CABALLERO, RICARDO J. (1990): “Consumption Puzzles and Precautionary Savings,” *Journal of Monetary Economics*, 25, 113–136, http://ideas.repec.org/p/clu/wpaper/1988_05.html.
- (2010): “Macroeconomics after the Crisis: Time to Deal with the Pretense-of-Knowledge Syndrome,” *Journal of Economic Perspectives*, 24(4), 85–102, <http://pubs.aeaweb.org/doi/pdfplus/10.1257/jep.24.4.85>.
- CAMPBELL, JOHN, AND ANGUS DEATON (1989): “Why is Consumption So Smooth?,” *The Review of Economic Studies*, 56(3), 357–373, <http://www.jstor.org/stable/2297552>.
- CAMPBELL, JOHN Y., AND N. GREGORY MANKIW (1989): “Consumption, Income, and Interest Rates: Reinterpreting the Time-Series Evidence,” in *NBER Macroeconomics Annual, 1989*, ed. by Olivier J. Blanchard, and Stanley Fischer, pp. 185–216. MIT Press, Cambridge, MA, <http://www.nber.org/papers/w2924.pdf>.
- CARROLL, CHRISTOPHER D. (2001a): “Death to the Log-Linearized Consumption Euler Equation! (And Very Poor Health to the Second-Order Approximation),” *Advances in Macroeconomics*, 1(1), Article 6.
- (2001b): “A Theory of the Consumption Function, With and Without Liquidity Constraints (Expanded Version),” *NBER Working Paper Number W8387*, <https://www.econ2.jhu.edu/people/ccarroll/ATheoryv3NBER.pdf>.
- (2008): “Recent Stock Declines: Panic or the Purge of ‘Irrational Exuberance’?,” *The Economists’ Voice*, 5, <https://www.econ2.jhu.edu/people/ccarroll/opinion/CampbellShillerReduxFinal.pdf>.

- (2023): “Theoretical Foundations of Buffer Stock Saving,” *Submitted*.
- CARROLL, CHRISTOPHER D., JEFFREY C. FUHRER, AND DAVID W. WILCOX (1994): “Does Consumer Sentiment Forecast Household Spending? If So, Why?,” *American Economic Review*, 84(5), 1397–1408.
- CARROLL, CHRISTOPHER D., AND MILES S. KIMBALL (2007): “Precautionary Saving and Precautionary Wealth,” *Palgrave Dictionary of Economics and Finance*, 2nd Ed., <https://www.econ2.jhu.edu/people/ccarroll/papers/PalgravePrecautionary.pdf>.
- CARROLL, CHRISTOPHER D., AND LAWRENCE H. SUMMERS (1991): “Consumption Growth Parallels Income Growth: Some New Evidence,” in *National Saving and Economic Performance*, ed. by B. Douglas Bernheim, and John B. Shoven. Chicago University Press, Chicago, <https://www.econ2.jhu.edu/people/ccarroll/papers/CParallelsY.pdf>.
- CUMMINS, JASON G., KEVIN A. HASSETT, AND R. GLENN HUBBARD (1994): “A Reconsideration of Investment Behavior Using Tax Reforms as Natural Experiments,” *Brookings Papers on Economic Activity*, 2, 1–59, Available at <http://ideas.repec.org/p/nbr/nberre/1946.html>.
- DEATON, ANGUS (2013): “Weak States, Poor Countries,” Available at [Project Syndicate](http://ideas.repec.org/p/nbr/nberre/1946.html).
- DEATON, ANGUS S. (1991): “Saving and Liquidity Constraints,” *Econometrica*, 59, 1221–1248, <https://www.jstor.org/stable/2938366>.
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- DIAMOND, PETER A. (1965): “National Debt in a Neoclassical Growth Model,” *American Economic Review*, 55, 1126–1150, <http://www.jstor.org/stable/1809231>.
- EBERLY, JANICE, AND ANDREW ABEL (1994): “A Unified Model of Investment Under Uncertainty,” *American Economic Review*, 84(5), 1369–1384, Available at <http://ideas.repec.org/a/aea/aecrev/v84y1994i5p1369-84.html>.
- FELDSTEIN, MARTIN S. (1974): “Social Security, Induced Retirement, and Aggregate Capital Formation,” *Journal of Political Economy*, 82(4), 905–926, Available at <http://www.jstor.org/stable/1829174>.
- FLAVIN, MARJORIE B. (1981): “The Adjustment of Consumption to Changing Expectations About Future Income,” *Journal of Political Economy*, 89, 974–1009, <http://www.jstor.org/stable/1830816>.
- FRIEDMAN, MILTON A. (1957): *A Theory of the Consumption Function*. Princeton University Press.

HALL, ROBERT E. (1978): "Stochastic Implications of the Life-Cycle/Permanent Income Hypothesis: Theory and Evidence," *Journal of Political Economy*, 96, 971–87, Available at <http://www.stanford.edu/~rehall/Stochastic-JPE-Dec-1978.pdf>.

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HALL, ROBERT E., AND DALE JORGENSON (1967): "Tax Policy and Investment Behavior," *American Economic Review*, 57, Available at <http://www.stanford.edu/~rehall/Tax-Policy-AER-June-1967.pdf>.

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KRUGMAN, PAUL (2012): "Economics in the Crisis," Commencement Address, University of Lisbon, <http://krugman.blogs.nytimes.com/2012/03/05/economics-in-the-crisis/>.

LUCAS, ROBERT E. (1978): "Asset Prices in an Exchange Economy," *Econometrica*, 46, 1429–1445, Available at <http://www.jstor.org/stable/1913837>.

MEHRA, RAJNISH, AND EDWARD C. PRESCOTT (1985): "The Equity Premium: A Puzzle," *Journal of Monetary Economics*, 15, 145–61, Available at <http://ideas.repec.org/a/eee/moneco/v15y1985i2p145-161.html>.

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- SARGENT, THOMAS J., AND LARS LJUNQVIST (2012): *Recursive Macroeconomic Theory*. The MIT Press, Cambridge, MA.
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- SUMMERS, LAWRENCE H (1991): “The Scientific Illusion in Empirical Macroeconomics,” *Scandinavian Journal of Economics*, 93(2), 129–48, http://www.econ.ucdavis.edu/faculty/kdsalyer/LECTURES/Ecn200e/summers_illusion.pdf.
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